

Class 19

Trade, Tariffs, and Globalization

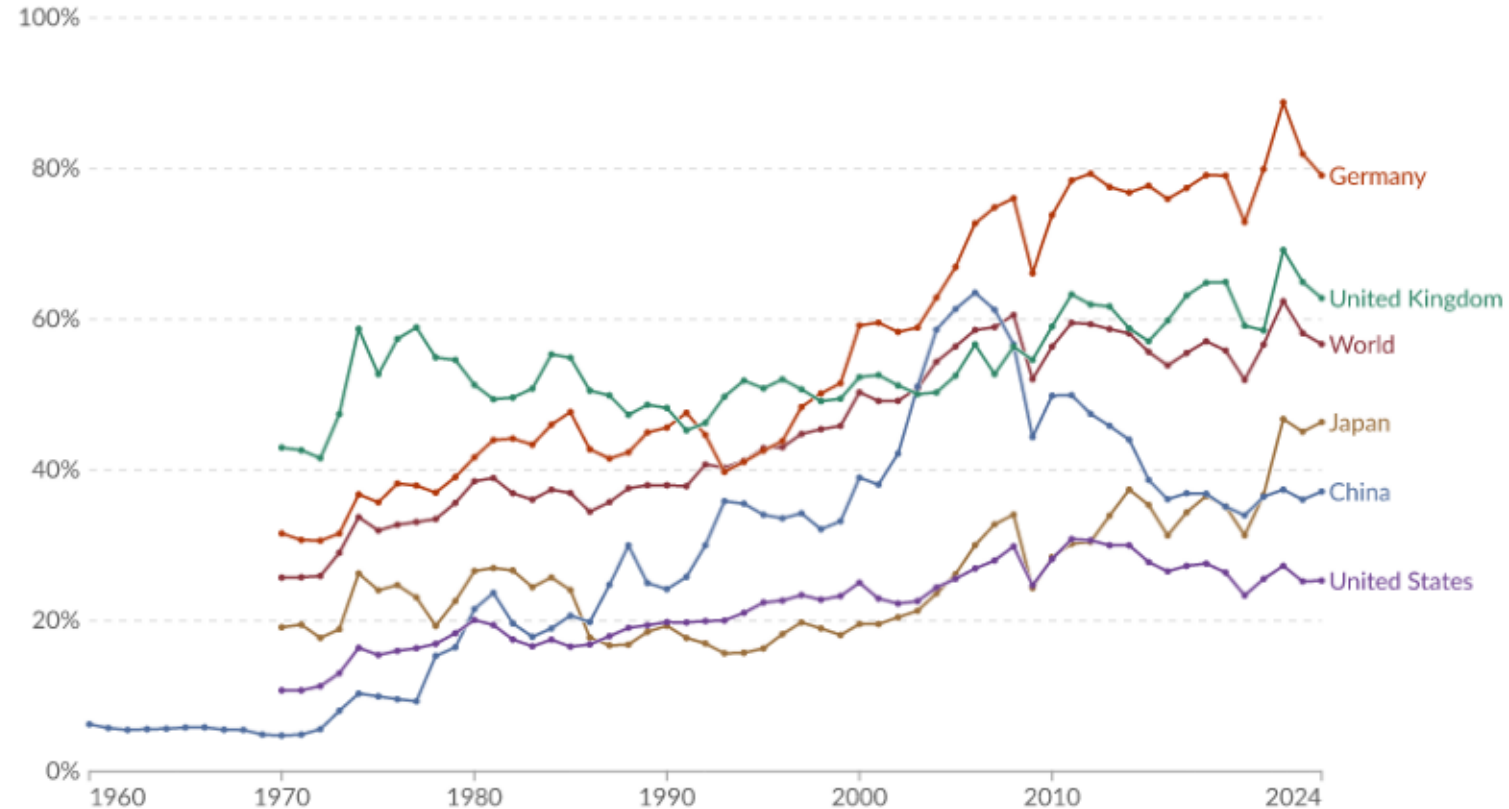
Part IV — Governing Capitalism's Consequences

U.S. trade as a share of GDP, 1790-present

Trade as a share of GDP, 1960 to 2024



Sum of exports and imports of goods and services, divided by gross domestic product, expressed as a percentage. This is also known as the "trade openness index".



Data source: National statistical organizations and central banks, OECD national accounts, and World Bank staff estimates (2026)

OurWorldinData.org/trade-and-globalization | CC BY

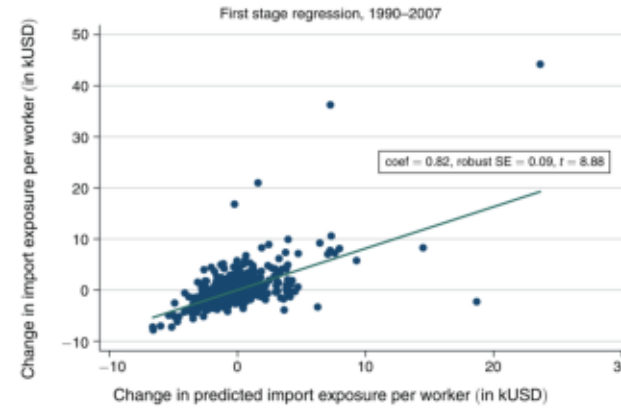
The China shock: manufacturing employment by commuting zone

VOL. 103 NO. 6

AUTOR ET AL.: THE CHINA SYNDROME

2134

Panel A. 2SLS first stage regression, full sample



Panel B. OLS reduced form regression, full sample

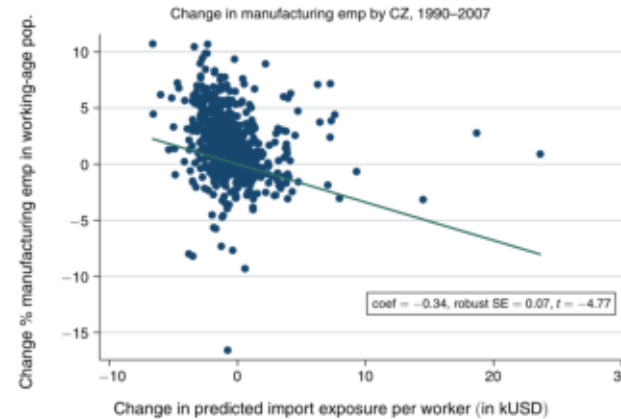
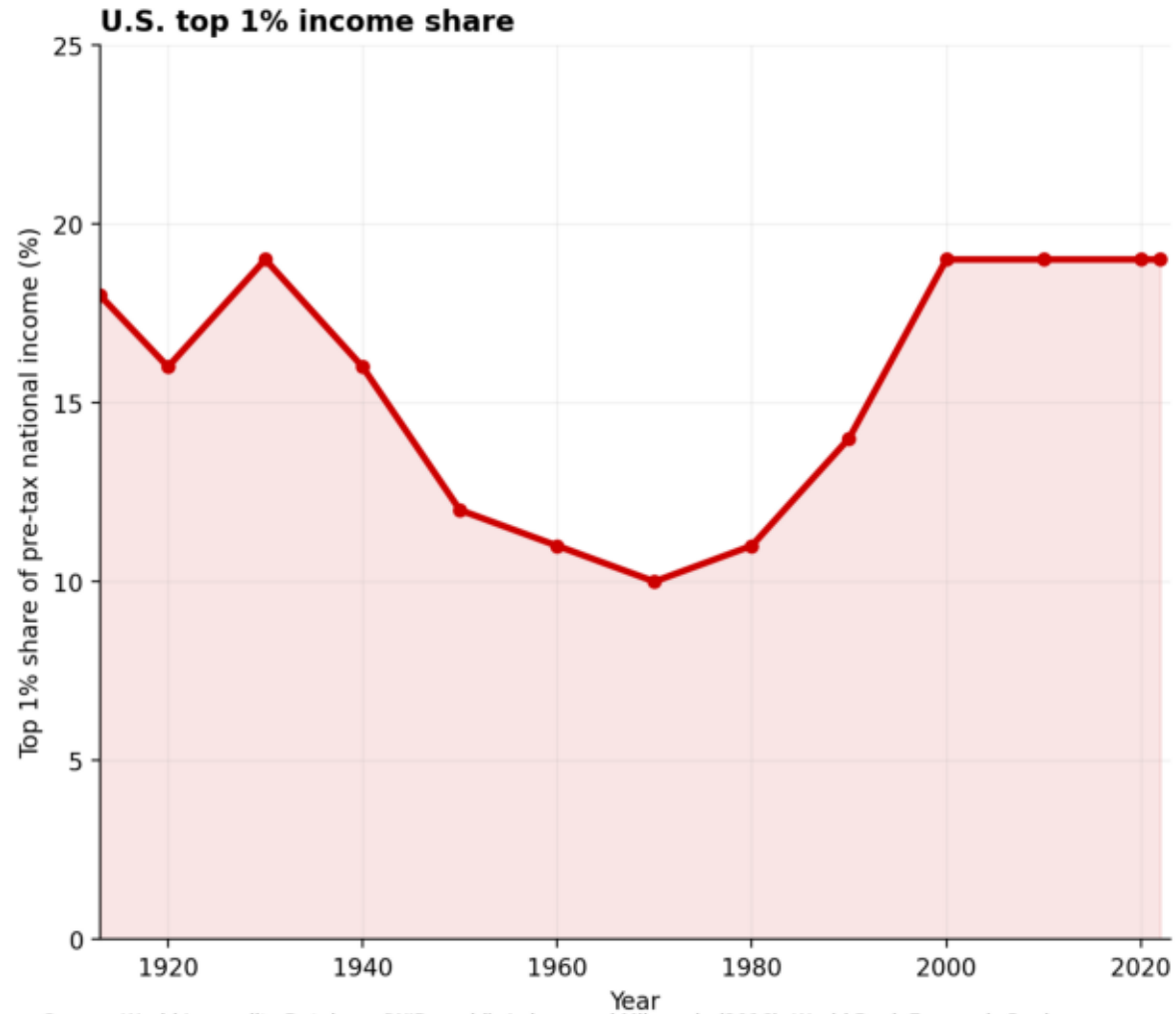


FIGURE 2. CHANGE IN IMPORT EXPOSURE PER WORKER AND DECLINE OF MANUFACTURING EMPLOYMENT:
ADDED VARIABLE PLOTS OF FIRST STAGE AND REDUCED FORM ESTIMATES

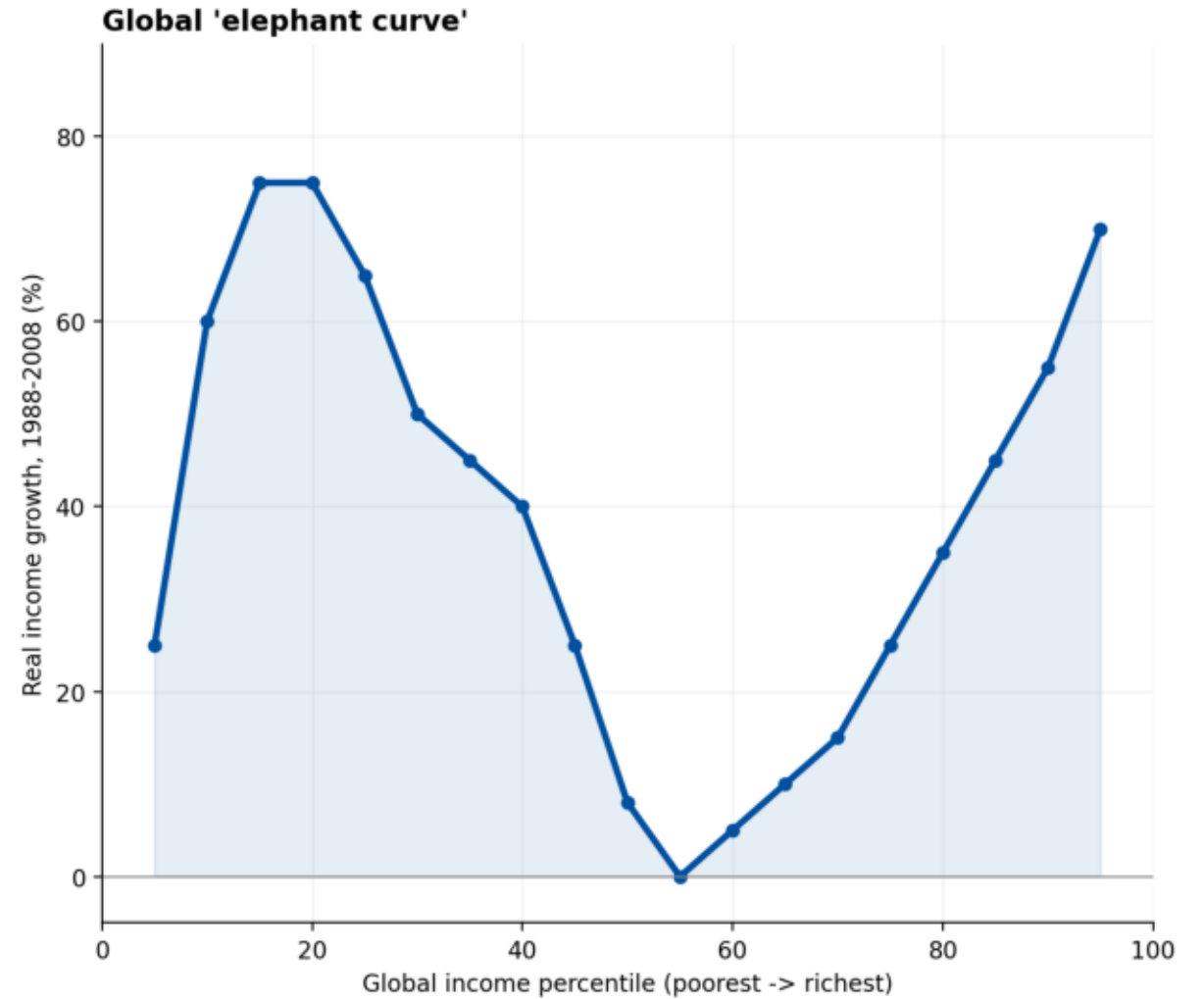
Notes: $N = 722$. The added variable plots control for the start of period share of employment in manufacturing industries. Regression models are weighted by start of period CZ share of national population.

Globalization's winners and losers: the elephant curve

Inequality: the U.S. top 1% and the global elephant curve



Source: World Inequality Database (WID.world); Lakner and Milanovic (2016), World Bank Economic Review.



Source: World Inequality Database (WID.world); Lakner and Milanovic (2016), World Bank Economic Review.